

Ticker: SKE CN
Market cap: C\$830m

Cash: C\$55m
Price: C\$13.36/sh
RECOMMEND. (unc): BUY
TARGET (unc): C\$19.50/sh

Project: Eskay Creek
Country: Canada, BC
RISK RATING: HIGH

*Today's news is actually accretive to our valuation, perhaps counterintuitively. Whilst on face value, Skeena now owns 60% less than it did yesterday, it owns 40% of something that will see C\$122m spend, equal to ~\$50m of value from future cash alone, plus the asset, plus an exceptional UG mining partner. We conservatively held Snip at \$75/oz for \$61m, hence this is accretive to our valuation, but perhaps the greater takeaway here is that Skeena can now sit back and let Hochschild, a renowned UG miner, do what they do best. This frees up Skeena to focus on Eskay, which is their key prize for SKE shareholders with its C\$1.7bn valuation. As such, **we maintain our 0.8xNAV multiple and C\$19.50/sh PT** based on 65% gearing, although given flexibility on anything from exploration spend to divestments and alternative financing such as silver streaming, this is only an approximation for now. Looking forward, the critical catalyst here is drilling / DFS, working hand in hand to target LOM production approaching 400koz pa AuEq. Permitting could be a material catalyst also as Skeena has truly partnered with the Tahltan to the benefit of all parties.*

Hochschild triggers 60% Snip earn in for ~\$115m spend; actually looks accretive to us

Hochschild has exercised their option to earn into 60% of Snip over three years for spend of ~\$100m (2x Skeena spend since March 2016) and C\$7.5m pa in each of the three years of the option period, provide 60% of the financial assurance (bonding) required by governmental authorities. Once completed, a joint venture would be established and Skeena would be entitled to anti-dilution protection of up to C\$15m—bringing Hochschild's total spend of ~\$115m. After a \$22.5m minimum spend, Hochschild may extend the Option period by a further 12 months with a cash payment to Skeena of \$1m. Hochschild can terminate the option at any time but must make a cash payment for any shortfall in the pro-rated annual minimum spend.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >400koz pa upside in CY22 DFS
- Shift in market dynamics allows concentrate sales with lower penalties than historic
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with the drilling of TMF, satellites and Snip

Catalysts

- 2H21: Snip, and regional drilling
- 2H21: Permitting update
- 1H22: BFS including expanded resource

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Ticker: SKE CN	Price / mkt cap: C\$13.36/sh, C\$830m	Project PNAV today: 0.57x	Asset: Eskay Creek / Snip
Author: B Salier/ B Gaspar	Rec / 0.8xNAV PT: BUY, C\$19.5/sh	1xNAV_{1Q21} FF FD: C\$23.34/sh	Country: Canada: BC

Commodity price	CY18A	CY19A	CY20A	CY21E	CY22E	Resource / Reserve	AuEq (koz)	AuEq (g/t)
Gold price	1,850	1,850	1,850	1,850	1,850	Pittable resource	5425koz	4.17g/t
SOTP project valuation*						Underground resource	224koz	5.41g/t
	C\$m	O/ship	NAVx	C\$/sh		Snip	646koz	13.60g/t

Ungeared proj. @ build start (2Q22)	1,713	100%	1.00x	24.19		Funding: uses		Funding: sources
Cash 2Q21	55	100%	1.00x	0.78		PFS capex	C\$448m	2Q21 cash + options* C\$69m
Cash from options	86	100%	1.00x	1.22		SCPe G&A to 1st Au + ABX \$	C\$32m	Mine debt @ 65% gearing C\$291m
Eskay Ck resources ex reserve @US\$50/oz	88	100%	1.00x	1.24		SCPe pre-production expl'n	C\$45m	Mine build equity at 0.6xNAV C\$235m
Snip (US\$75/oz)	61	100%	1.00x	0.86		SCPe finance costs + wkg cap	C\$57m	Total proceeds C\$595m
Asset NAV5% C\$1850/oz	2,003			28.3		Total uses	C\$582m	Buffer C\$13m

*Shares diluted for options but not mine build Market P/NAV5%_{1Q21} 0.49x *Cash from options expiring pre first pour

Asset value: 1xNPV project @ build start (C\$m, ungeared)*						Share data				
Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Basic shares (m)	62.1	FD with build equity raise	85.3	
10.0% discount	1,523	1,603	1,713	1,823	1,933	FD with options (m)	70.8			
7.5% discount	1,697	1,788	1,910	2,032	2,154	Ratio analysis	CY21E	CY22E	CY23E	CY24E
5.0% discount	1,899	2,003	2,140	2,276	2,412	Average shares out (m)	79.6	77.8	80.0	80.0
Ungeared project IRR:	64%	65%	68%	72%	75%	EPS (C\$/sh)	-	-	-	3.71
Project NPV (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	CFPS (C\$/sh)	-	-	-	3.93
3.7g/t AuEq	1,571	1,696	1,819	1,943	2,033	EV (C\$m)	1,048.2	1,044.2	1,354.8	1,068.1
4.1g/t AuEq	1,899	2,003	2,140	2,276	2,412	FCF yield (%)	-	-	-	29%
4.5g/t AuEq	2,192	2,342	2,492	2,642	2,791	PER (x)	-	-	-	3.6x
NPV5 (C\$m)*	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	P/CF (x)	-	-	-	3.4x
Payability: 67%	1,571	1,696	1,819	1,943	2,033	EV/EBITDA (x)	-	-	-	2.4x
Payability: 75%	1,899	2,003	2,140	2,276	2,412	Income statement	CY21E	CY22E	CY23E	CY24E
Payability: 82%	2,192	2,342	2,492	2,642	2,791	Net revenue (C\$m)	-	-	-	665.0

*Project level NPV, excl finance costs and central SGA, discounted to build start

Group valuation over time^	3Q21	3Q22	3Q23	3Q24	3Q25	Gross profit (C\$m)	-	-	-	499.9	528.9
Eskay Creek (C\$m)	1,667	1,864	2,232	2,281	2,053	D&A, attrib (C\$m)	(6.8)	-	-	55.4	63.7
Net cash prior qtr (C\$m)	55	134	(143)	(115)	180	Admin (C\$m)	32.0	38.6	38.6	38.6	38.6
G&A and finance costs (C\$m)	(218)	(168)	(157)	(135)	(106)	Expensed exploration (C\$m)	82.8	15.0	-	-	-
Cash from options (C\$m)	86	86	86	86	86	Finance cost (C\$m)	(0.1)	-	(4.6)	23.1	17.5
Snip	61	61	61	61	61	Royalty (C\$m)	-	-	-	12.2	13.6
NAV FF FD (C\$m)	1,653	1,976	2,079	2,179	2,275	Forex, other (C\$m)	(9.7)	-	-	-	-
1xNAV _{5%} /sh FF FD (C\$/sh)	23.34^	27.91^	24.37*	25.54*	26.67*	Taxes (C\$m)	-	-	-	74.2	159.1
Equity ROI from spot (% pa)	109%	49%	38%	32%		Net income (C\$m)	(98.2)	(53.6)	(34.0)	296.4	236.3

Geared company NAV diluted for mine build, net G&A and finance costs						Cash flow, attrib.	CY21E	CY22E	CY23E	CY24E	CY25E
2Q22 1xNAV FF FD (C\$/sh)^	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	EBIT (C\$m)	(98.3)	(53.6)	(38.6)	393.7	412.8
10.0% discount	18.96	20.17	21.86	23.55	25.25	Add back D&A (C\$m)	(6.8)	-	-	55.4	63.7
7.5% discount	20.80	22.14	23.96	25.79	27.62	Less tax + net interest (C\$m)	(0.1)	-	(4.6)	97.3	176.6
5.0% discount	22.88	24.37	26.35	28.33	30.32	Net change in wkg cap (C\$m)	(6.3)	-	-	(51.8)	(6.3)
Geared project IRR:	57%	59%	62%	65%	68%	Add back other non-cash (C\$m)	5.5	26.8	26.8	26.8	26.8
2Q22 1xNAV FF FD (C\$/sh)^	\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Cash flow ops (C\$m)	(105.8)	(26.8)	(7.2)	326.7	320.6
Payability: 67%	18.07	19.85	21.62	23.41	24.70	PP&E - build + sust. (C\$m)	(7.1)	(229.3)	(258.7)	(12.6)	(14.0)
Payability: 75%	22.88	24.37	26.35	28.33	30.32	PP&E - expl'n (C\$m)	(0.5)	-	(15.4)	-	-
Payability: 82%	27.21	29.39	31.58	33.77	35.97	Cash flow inv. (C\$m)	(7.6)	(229.3)	(274.1)	(12.6)	(14.0)

^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity

Production	Y1	Y2	Y3	Y4	Y5	Share issue (C\$m)	82.9	235.0	-	-	-
Gold production (000oz)	341	382	431	527	477	Proceeds from sale (C\$m)	5.0	-	-	-	-
C1 cost (US\$/oz)	510	617	565	503	510	Debt draw (repay) (C\$m)	-	97.1	194.1	-	(97.1)
AISC cost (US\$/oz)	558	665	607	539	548	Cash flow fin. (C\$m)	87.9	332.1	194.1	-	(97.1)

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024

Balance sheet	CY21E	CY22E	CY23E	CY24E	CY25E	Net change in cash (C\$m)	(25.5)	75.9	(87.1)	314.1	209.5
Cash (C\$m)	19.5	95.4	8.3	322.5	532.0	EBITDA (C\$m)	(105.0)	(53.6)	(38.6)	449.1	476.6
Acc rec., inv, prepaid (C\$m)	8.2	8.2	8.2	56.1	66.2	Balance sheet	CY21E	CY22E	CY23E	CY24E	CY25E
PP&E + other (C\$m)	111.1	340.4	614.5	571.7	522.0	Cash (C\$m)	19.5	95.4	8.3	322.5	532.0
Total assets (C\$m)	138.7	444.0	631.0	950.3	1,120.1	Acc rec., inv, prepaid (C\$m)	8.2	8.2	8.2	56.1	66.2
Debt (C\$m)	3.8	100.8	295.0	295.0	197.9	PP&E + other (C\$m)	111.1	340.4	614.5	571.7	522.0
Accounts payable (C\$m)	13.8	13.8	13.8	9.9	13.7	Total assets (C\$m)	138.7	444.0	631.0	950.3	1,120.1
Others (C\$m)	7.8	7.8	7.8	7.8	7.8	Debt (C\$m)	3.8	100.8	295.0	295.0	197.9
Total liabilities (C\$m)	25.4	122.5	316.6	312.7	219.4	Accounts payable (C\$m)	13.8	13.8	13.8	9.9	13.7
Sh'hlds equity + wrnts (C\$m)	334.6	596.5	623.3	650.1	677.0	Others (C\$m)	7.8	7.8	7.8	7.8	7.8
Retained earn'gs + rsvs (C\$m)	(221.3)	(274.9)	(308.9)	(12.5)	223.7	Total liabilities (C\$m)	25.4	122.5	316.6	312.7	219.4
Liabilities + equity (C\$m)	138.7	444.0	631.0	950.3	1,120.1	Sh'hlds equity + wrnts (C\$m)	334.6	596.5	623.3	650.1	677.0

Source: SCP estimates

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BUY:	48
HOLD:	0
SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	48

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